



Strategic management and budgeting process

Lecture 7

- Program-targeted approach
- Strategic documents, target programs
- Taxes, budget levels
- Subsidies, subventions,
subsidies



Strategic planning

– this is the activity of strategic planning participants to:

Goal setting – defining priority areas, goals and objectives of development;

Forecasting – development of scientifically based forecasts of socio-economic development and risk assessment;

Planning – preparation of strategic plans and main directions of activities of government bodies aimed at achieving set goals;

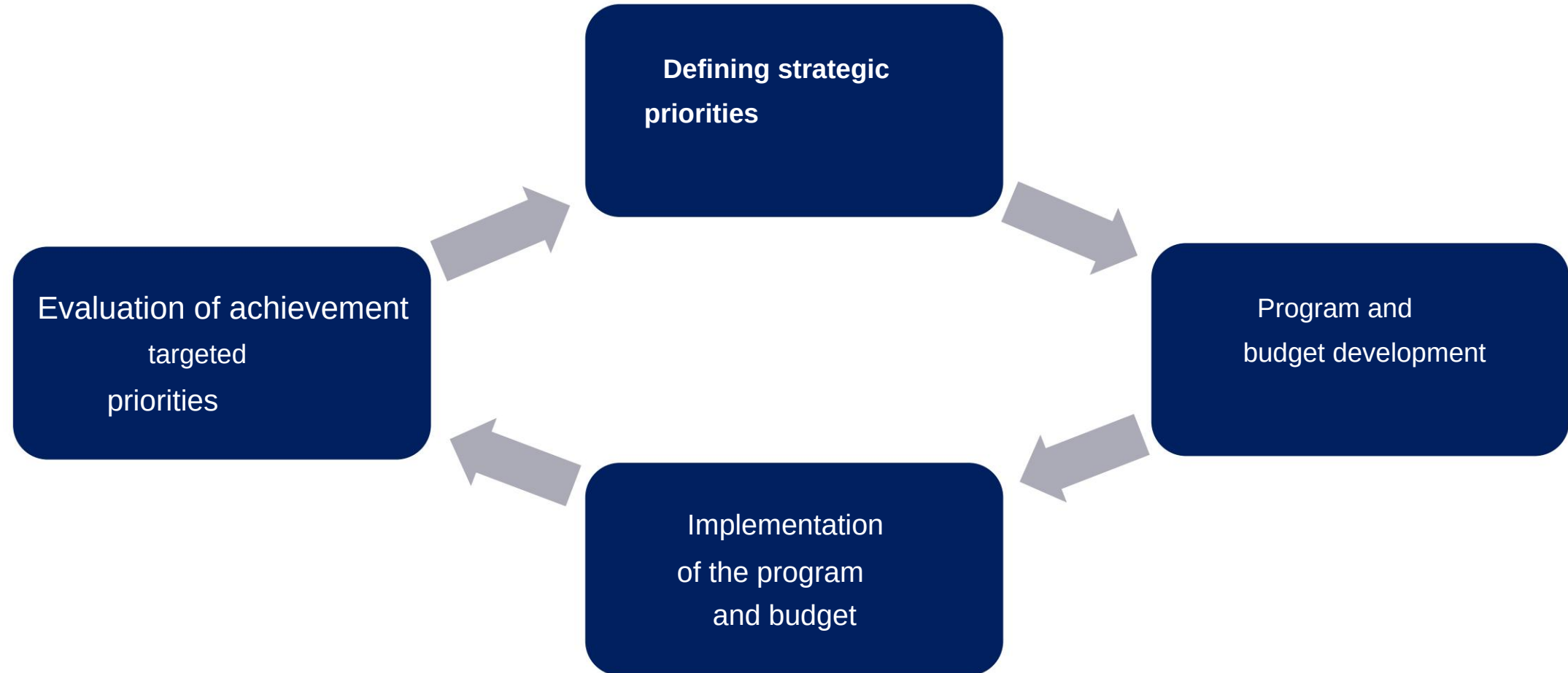
Programming – development and implementation of state and municipal programs to achieve strategic goals;

Monitoring and control – assessment of the implementation of strategic documents and control over the achievement of goals

socio-economic development of the country, regions and municipalities, ensuring national security, aimed at solving the problems of sustainable development and security states

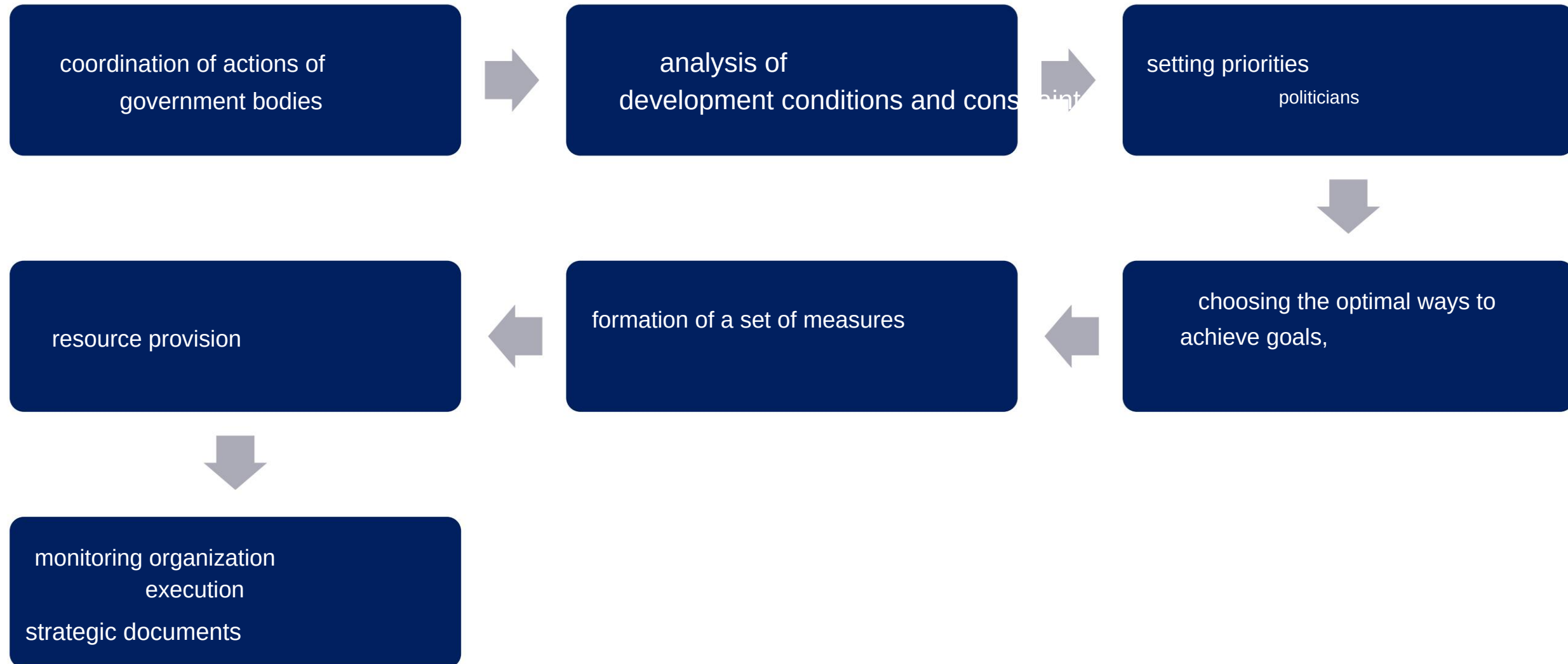


Program-targeted approach





Tasks of strategic planning





Principles of strategic planning

unity and
integrity

delineation of powers

succession and continuity

balance
systems
strategic planning

effectiveness and efficiency
of strategic planning

responsibility
participants in
strategic planning

transparency
(openness) of
strategic planning

realism

resource security

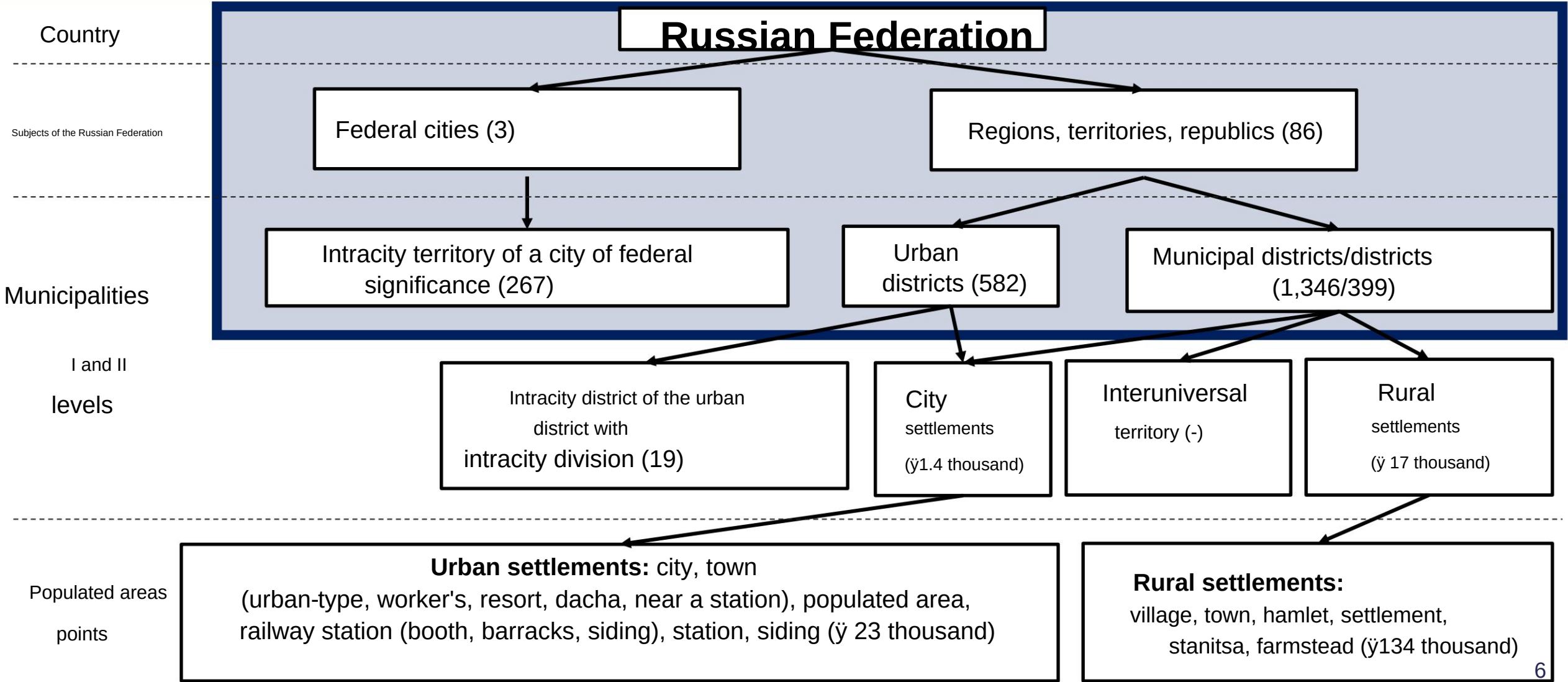
measurability of goals

conformity
indicators of goals

program-target principle

Source: Federal Law of June 28, 2014 No. 172-FZ "On Strategic Planning in the Russian Federation"

Strategic planning is carried out at the following levels of administrative-territorial structure



Source: Rosstat. Number of municipalities by constituent entity of the Russian Federation as of January 1, 2024. https://rosstat.gov.ru/storage/mediabank/1-adm_2024.xlsx



Subjects of management decision-making

Fundamental: • President of the Russian Federation

• State Duma of the Russian Federation • Federation Council

Federal: •

Government of the Russian

Federation • Sectoral Ministries of the Russian Federation

Regional:

• Head of the constituent

entity of the Russian Federation • Legislative body of the constituent entity of the Russian Federation • Supreme

executive body of the constituent entity of the Russian Federation (Government)

• Sectoral Ministries of the constituent entity of the Russian Federation

Municipal and local: • Heads of municipal entities

•

Representative body of the municipal entity

(Assembly of Deputies) • Executive body of the municipal entity



Strategic planning documents

State policy

Concept

Strategy

National project

State program

Federal Target Program (FTP)

Projects:

federal project

departmental project

regional project

municipal project



Approaches to the development and evaluation of management decisions

Approaches to development: • Bottom-

up / Top-down • From goals / from

means • Completion by

deadline / upon achievement of goals • Declarative / with

discussion / with involvement **Approaches to performance**

assessment: • Achievement of strategic goal / target indicators

• Evaluation of each event / the entire strategy • Number of achieved indicators /

share of achieved indicators

• Evaluation of the effectiveness of goal setting



Mechanisms for determining long-term development priorities

Document analysis

Sociological survey

Expert interviews

Foresight session

Focus group

Risk analysis





KPIs and indicators

A key tool for quantitatively assessing the achievement of goals

are key

performance indicators (KPIs) and target indicators.

KPIs are **specific, measurable metrics** linked to strategic goals.

Monitoring is built around **tracking the dynamics of KPIs.**

If **the indicators improve** according to plan, the strategy is considered **to be successfully implemented**; if they lag, additional measures are required.

The use of KPIs allows managers and society **to objectively judge progress.**



List of indicators for assessing the performance of senior officials and executive bodies of the constituent entities of the Russian Federation

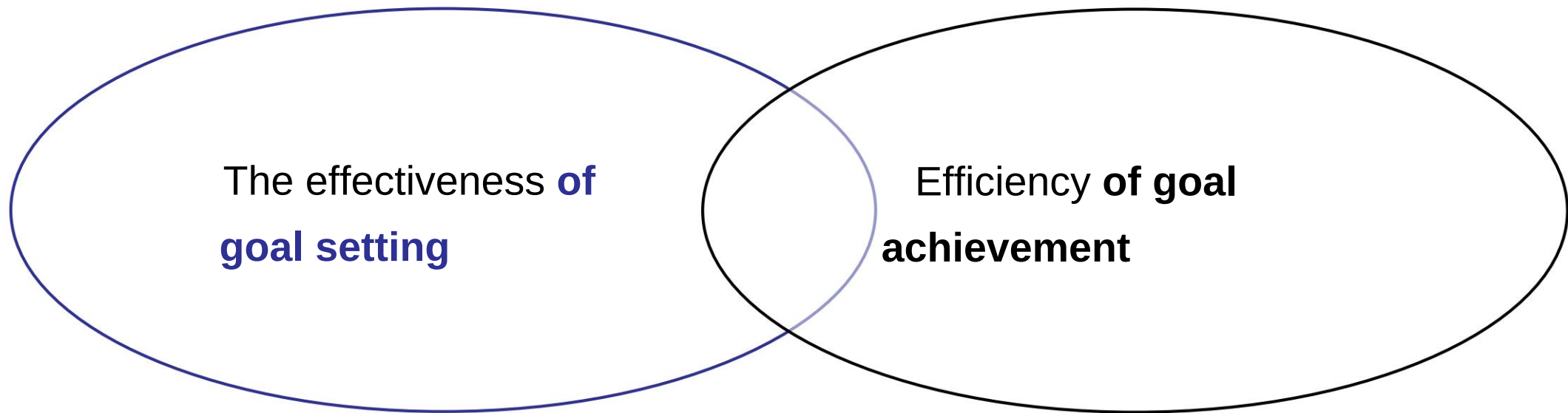
Decree of the President of the Russian Federation of November 28, 2024 No. 1014

- | | |
|---|---|
| <ol style="list-style-type: none"> 1. Trust in the authorities. 2. Population size of the constituent entity of the Russian Federation. 3. Total fertility rate. 4. Life expectancy at birth. 5. Poverty level. 6. Citizens' satisfaction with the conditions for classes physical education and sports. 7. Satisfaction of participants in special military operations with conditions for medical rehabilitation, retraining and employment. 8. Level of education. 9. Effectiveness of the identification, support and development system abilities and talents in children and young people. 10. The proportion of people involved in volunteer activities. 11. Conditions for the education of a harmoniously developed, patriotic and socially responsible person. 12. Number of families that improved their housing conditions. 13. Volume of commissioning of residential and non-residential real estate. 14. Quality of living environment in key settlements. | <ol style="list-style-type: none"> 15. The share of roads in the largest urban agglomerations and regional roads (including roads classified as part of the backbone road network) that comply with standards. 16. The share of the public transport fleet with a lifespan operation not older than the standard, in agglomerations and cities. 17. Environmental quality. 18. Growth rate (growth index) of real per capita monetary income of the population. 19. The growth rate (growth index) of the physical volume of investments in fixed capital, excluding investments of infrastructure monopolies (federal projects) and budgetary allocations of the federal budget. 20. The growth rate of income per employee of the subject small and medium-sized businesses. 21. "Digital maturity" of state and municipal administration, key sectors of the economy and social sphere, including healthcare and education. |
|---|---|



Effectiveness of management decisions

- this is the ratio of the result and the resources spent on it





Evaluation of the effectiveness of management decisions

Types of **management decision efficiency** :

Organizational

Economic

Social

Evaluation of the effectiveness of management decisions

— is the ratio of the quantity

the effect of management activity on
any basic or normative

size.



Methods for forecasting development

Statistical forecasting methods:

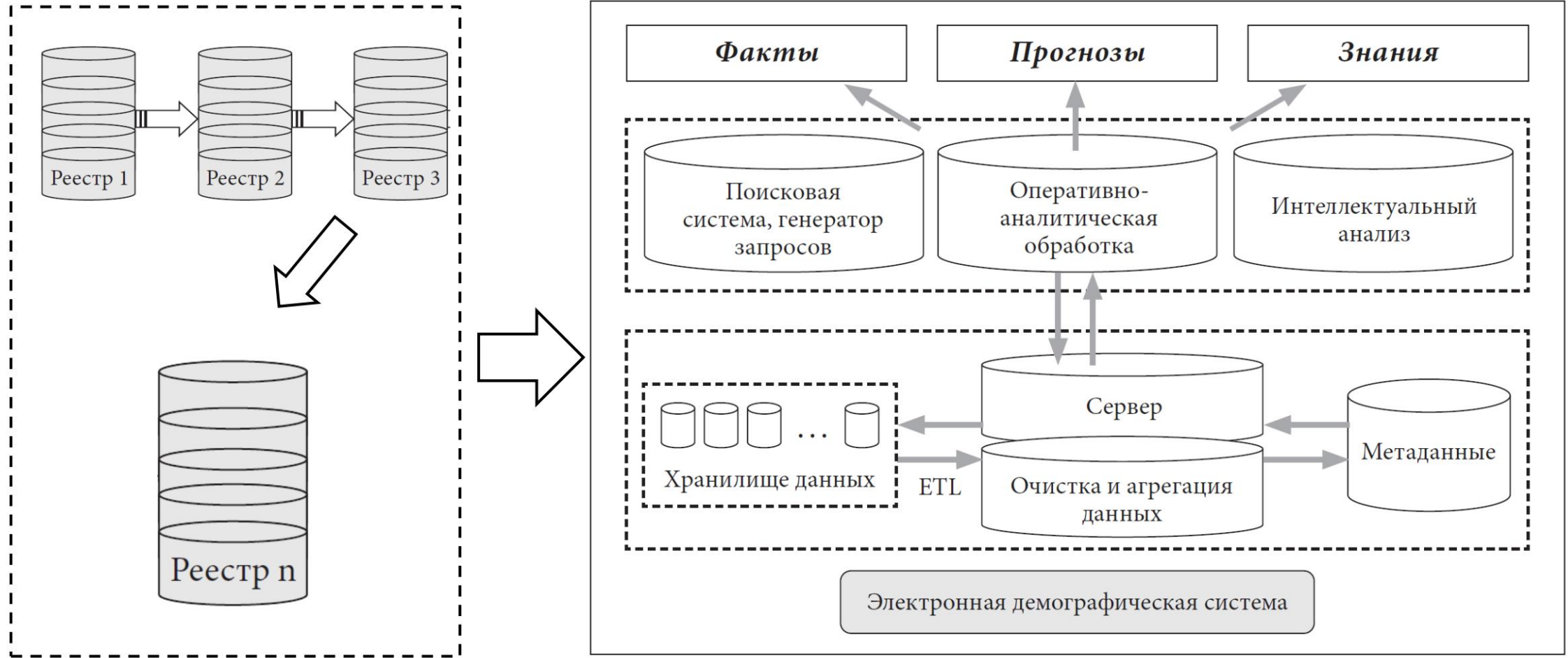
- Extrapolation
 - o Simple regression
 - o Graphical extrapolation
- Approximation
 - o Using arithmetic and geometric progressions
 - o Using mathematical functions (polynomials of different orders, exponential function)

Methods of mathematical modeling:

- Deterministic models
 - o Continuous models: Malthusian, Fibonacci, logistic growth, hyperbolic growth, linear and exponential growth.
 - o Discrete models: stable population, stationary population, age shifts.
- Stochastic models
 - o Stochastic version of the age-based shift method
 - o Continuous models: multivariate Markov processes, queueing systems.
 - o Discrete models: Markov chains, branching processes.



Digital development forecasting system





Regulatory framework

Strategic planning:

Federal Law of June 28, 2014 No. 172-FZ **"On Strategic Planning in the Russian Federation"**

Decree of the President of the Russian Federation of November 28, 2024 No. 1014 **"On assessing the performance of senior officials of constituent entities of the Russian Federation and the activities of executive bodies of constituent entities of the Russian Federation"**

Resolution of the Government of the Russian Federation of May 26, 2021 No. 786 **"On the Management System of State Programs of the Russian Federation"**

Budget process:

Federal Law of July 31, 1998 No. 145-FZ **"Budget Code of the Russian Federation"**

"Tax Code of the Russian Federation" (Part One - Federal Law of July 31, 1998 No. 146-FZ and Part Two - Federal Law of August 5, 2000 No. 117-FZ)

Federal Law of December 11, 2024 No. 539-FZ **"On the Federal Budget for 2025 and for the Planning Period of 2026 and 2027"**

Key documents

strategic planning



• **Annual Address of the President of the Russian Federation to the Federal Assembly**

• Decree of the President of the Russian Federation of July 2, 2021 No. 400

"On the National Security Strategy of the Russian Federation"

• Decree of the President of the Russian Federation of

07.05.2024 No. 309 **"On the national development goals of the Russian Federation for the period up to 2030 and for the future up to**

2036" • Decree of the President of the Russian Federation

of 01.12.2016 No. 642 **"On the Strategy for Scientific and Technological Development of the Russian**

• Order of the Government of the Russian Federation of December 28,

2024 N 4146-r **"On approval of the Strategy for Spatial Development of the Russian Federation for the period up to 2030 with a forecast up to 2036"**

• Decree of the President of the Russian Federation of May 13, 2017 No. 208 **"On the**

Strategy for Economic Security of the Russian Federation for the Period up to 2030"

• Order of the Government of the Russian Federation dated March 15, 2025 No. 615-r **"On approval**

Action strategies for the implementation of family and demographic policies, support for large families in the Russian Federation until 2036" • Passports of **"National**

Projects"

Decree of the President of the Russian Federation of May 7, 2024 No. 309 "On the national development goals of the Russian Federation for the period up to 2030 and for the future up to 2036"



a) **preserving the population**, strengthening health and improving the well-being of people, supporting the family;

b) **the realization of the potential of each person**, the development of his talents, the education of a patriotic and socially responsible individual;

c) a comfortable and safe **living environment**;

d) **environmental** well-being;

d) a sustainable and dynamic **economy**;

e) **technological** leadership;

g) **digital transformation** of state and municipal administration, economy and social sphere.



National projects of Russia

НАЦИОНАЛЬНЫЕ ПРОЕКТЫ

1. Молодёжь и дети
2. Семья
3. Кадры
4. Продолжительная и активная жизнь
5. Инфраструктура для жизни
6. Экологическое благополучие
7. Туризм и гостеприимство
8. Эффективная и конкурентная экономика
9. Международная кооперация и экспорт
10. Экономика данных и цифровая трансформация государства
11. Эффективная транспортная система

НАЦИОНАЛЬНЫЕ ПРОЕКТЫ ПО ОБЕСПЕЧЕНИЮ ТЕХНОЛОГИЧЕСКОГО ЛИДЕРСТВА

12. Новые технологии сбережения здоровья
13. Беспилотные авиационные системы
14. Новые атомные и энергетические технологии
15. Новые материалы и химия
16. Промышленное обеспечение транспортной мобильности
17. Развитие многоспутниковой орбитальной группировки (дсп)
18. Средства производства и автоматизации
19. Технологическое обеспечение продовольственной безопасности



Program-targeted budgeting

Today, **more than 95% of** federal budget expenditures are tied to state programs and national projects, reflecting the implementation **of a program-targeted approach in the budgetary sphere.**

Program-targeted budget planning is based on the fact that **goals, performance indicators** , and **funding volumes** are established for each state program , and when the budget is approved by parliament, appropriations are approved according to **target items** corresponding to the programs.



Budget process

– this is the activity of state authorities and local self-government bodies in:

Drafting a budget is the process of drafting a budget law by authorized executive bodies (the government or financial authorities). At this stage, budget revenues and expenditures are determined, fiscal policy parameters are defined, deficit financing sources are projected, and expenditures are prioritized.

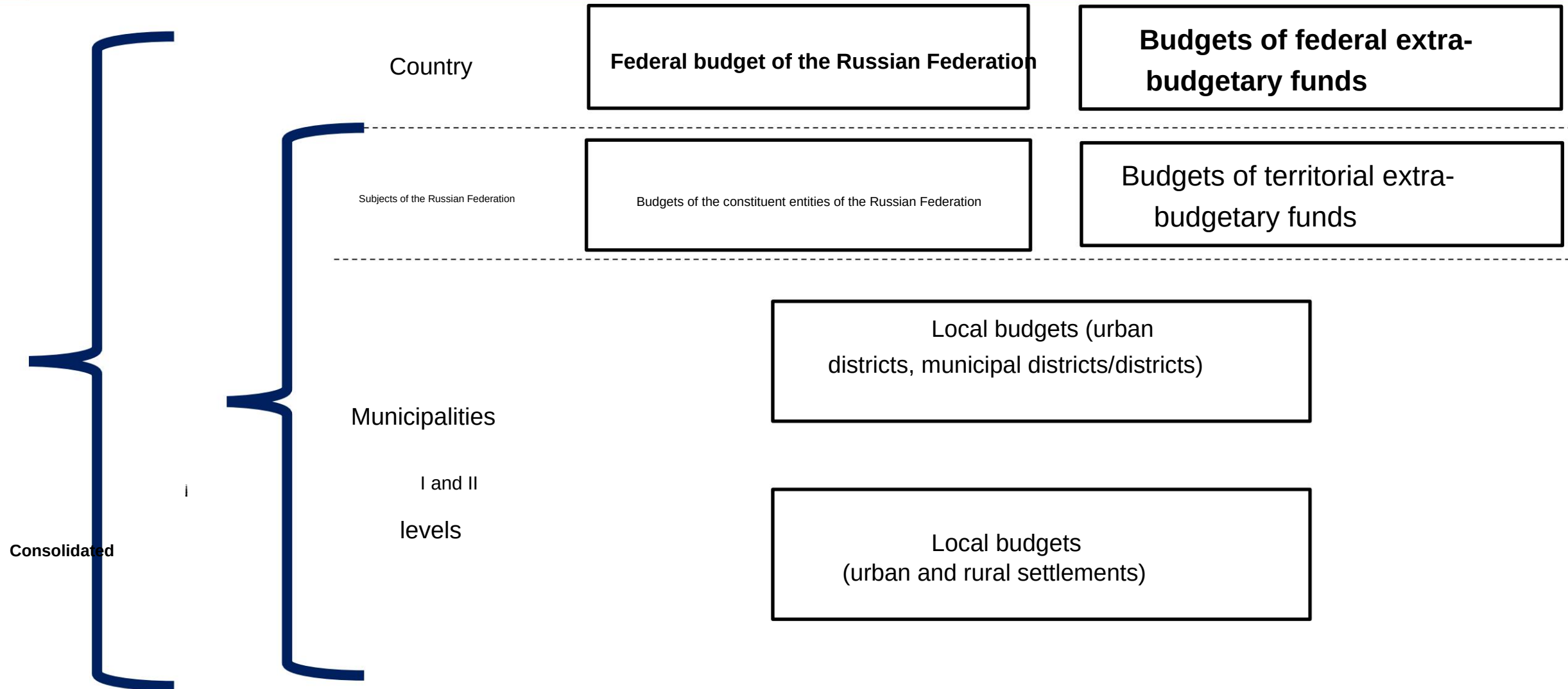
Budget review and approval – the legislative body (parliament) considers the draft budget and adopts the budget law. The budget is typically discussed in several readings, allowing for the resolution of contentious issues. The approved budget becomes binding law.

Budget execution is the actual implementation of the budget during the financial year. Executive bodies collect planned revenues and finance expenditures in accordance with approved appropriations. During budget execution, cash planning is conducted and a budget breakdown (a document distributing allocated funds between administrators and recipients) is prepared.

Preparation and approval of budget execution reports – at the end of the financial year, a budget execution report is prepared. Executive bodies prepare budget reports (cash reports, income and expenditure reports), which are then reviewed and approved by the legislative body in the form of a budget execution law or a corresponding resolution.

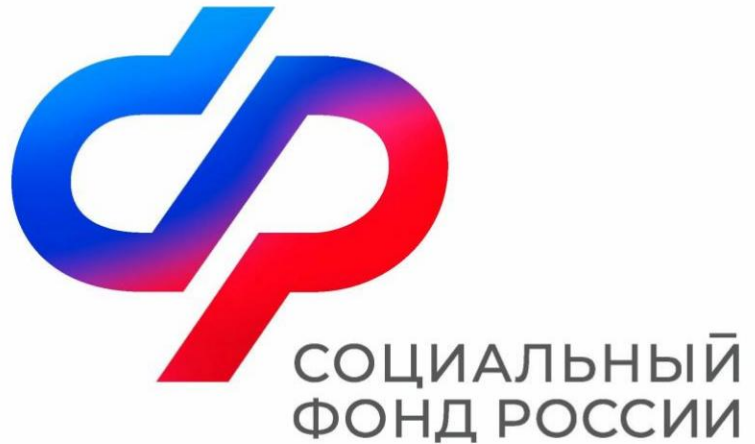


Budget system of Russia





Federal extra-budgetary funds

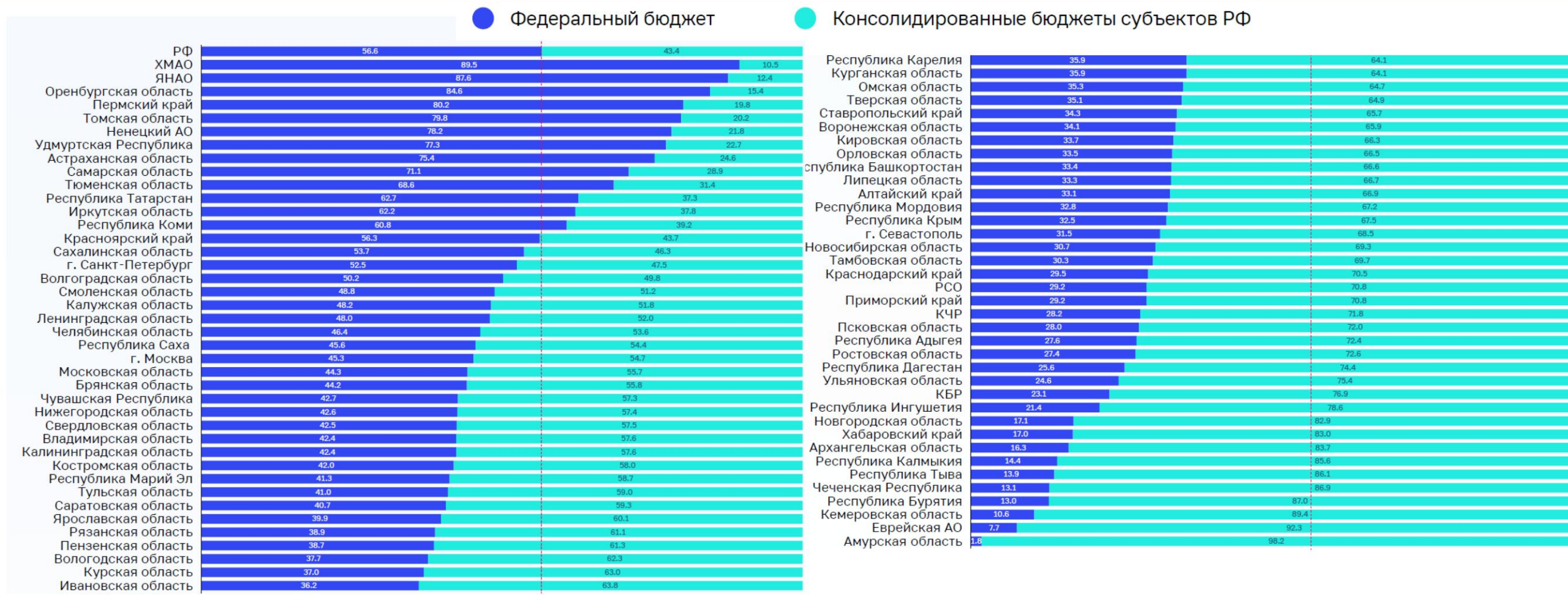


(Pension and Social Insurance Fund
of the Russian Federation)



Федеральный фонд
обязательного медицинского
страхования

Distribution of collected tax revenues between the federal budget and consolidated budgets of the constituent entities of the Russian Federation in 2024, %





Interbudgetary transfers

This is a general term for any monetary funds that **one budget of the budgetary system of the Russian Federation transfers to another budget.**

Interbudget transfers are the main instrument **for equalizing and supporting lower-level budgets.**

The Budget Code defines interbudgetary transfers as **funds provided on a non-repayable and gratuitous basis.**

(except for budget loans) from one budget to another

Subsidies

Subventions

Subsidies

Other MBT
(budget loans)



Interbudgetary transfers

Subsidy

an interbudgetary transfer *of a general nature*, provided to a lower budget on a gratuitous and non-repayable basis **without specifying a specific purpose** for the funds

Subvention

a targeted interbudgetary transfer provided to the budget of another level **for the implementation of specific expenditure powers transferred from a higher level**

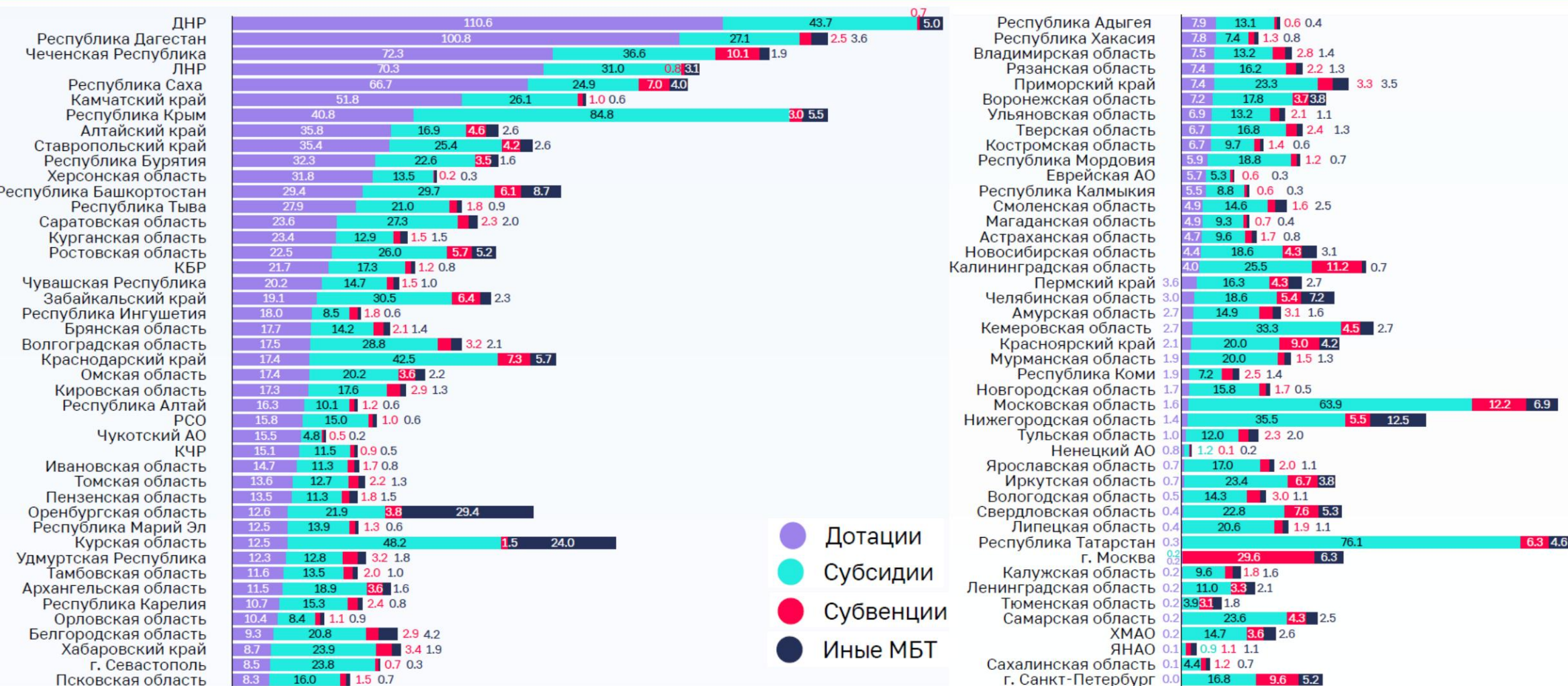
Subsidy

transfers provided to lower budgets *on the terms*

Shared co-financing of specific activities.
Funds provided free of charge from budgets **for strictly defined purposes.**



Structure of interbudget transfers from the federal budget in 2024, %



Source: Operational report on the execution of consolidated budgets of the constituent entities of the Russian Federation for January–December 2024 / Accounts Chamber of the Russian Federation, 2025. URL: <https://ach.gov.ru/upload/iblock/1da/jyb8h6wl8r2ycmnepny019p0mlssa6q7.pdf>



Budgetary commitments and expenditure commitments

Expenditure obligation – means a legislative or other established norm, by virtue of which a public-legal entity (state, region or municipality) must provide funds to an individual or legal entity

Budgetary obligations are the portion of expenditure obligations that is subject to execution in a given financial year, i.e. , is provided by budget allocations for the current year.

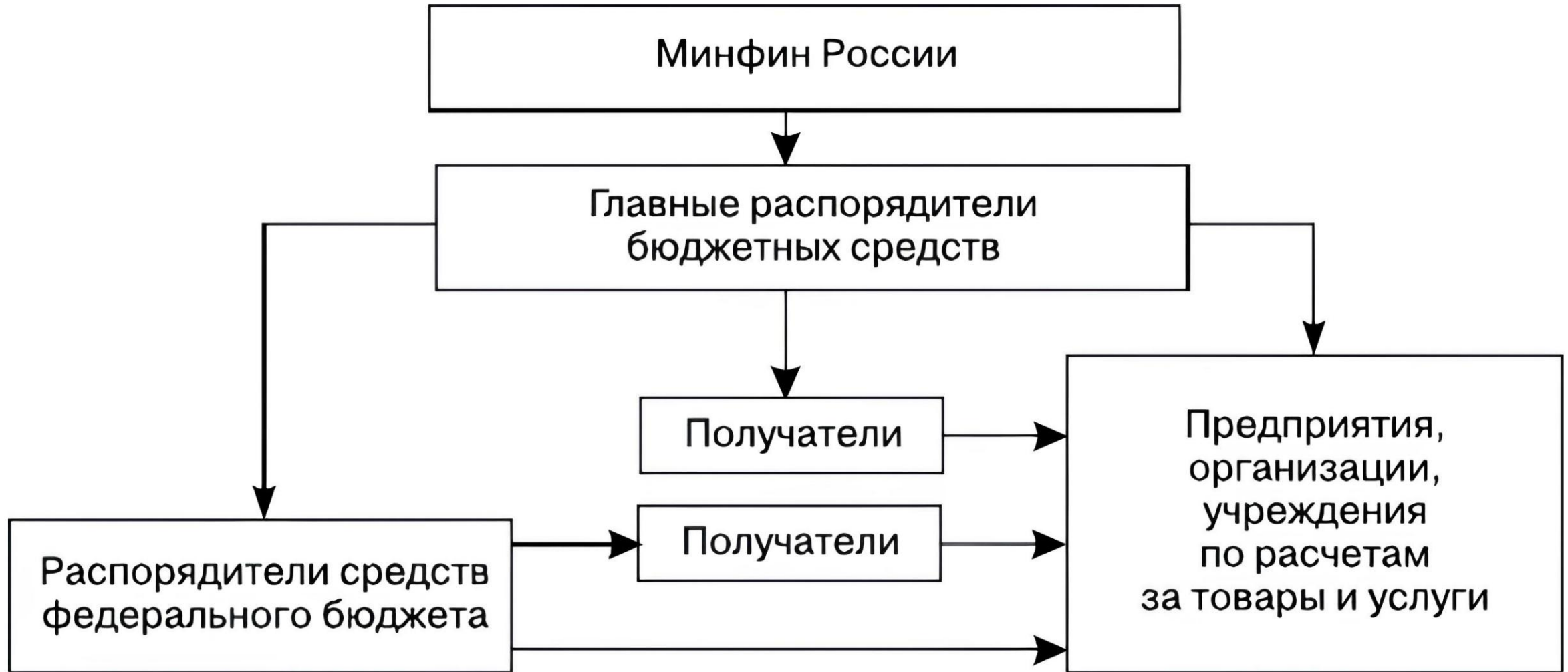


Chief Budgetary Officers (CBOs)

- **GRBS** is *an authority or institution* that has the right to distribute budgetary appropriations and budgetary commitment limits between subordinate administrators and recipients.
- Simply put, **the GRBS** is *the “chief manager”* of budget funds in a specific area.
- For example, *the Russian Ministry of Health* is **the GRBS** for healthcare expenditures, *the Russian Ministry of Defense* is the GRBS for defense expenditures, etc. • **The GRBS** *then distributes the funds:* some to its subordinate institutions (hospitals, schools, etc., which are **recipients of budget funds**), and some to lower-level **fund managers**.



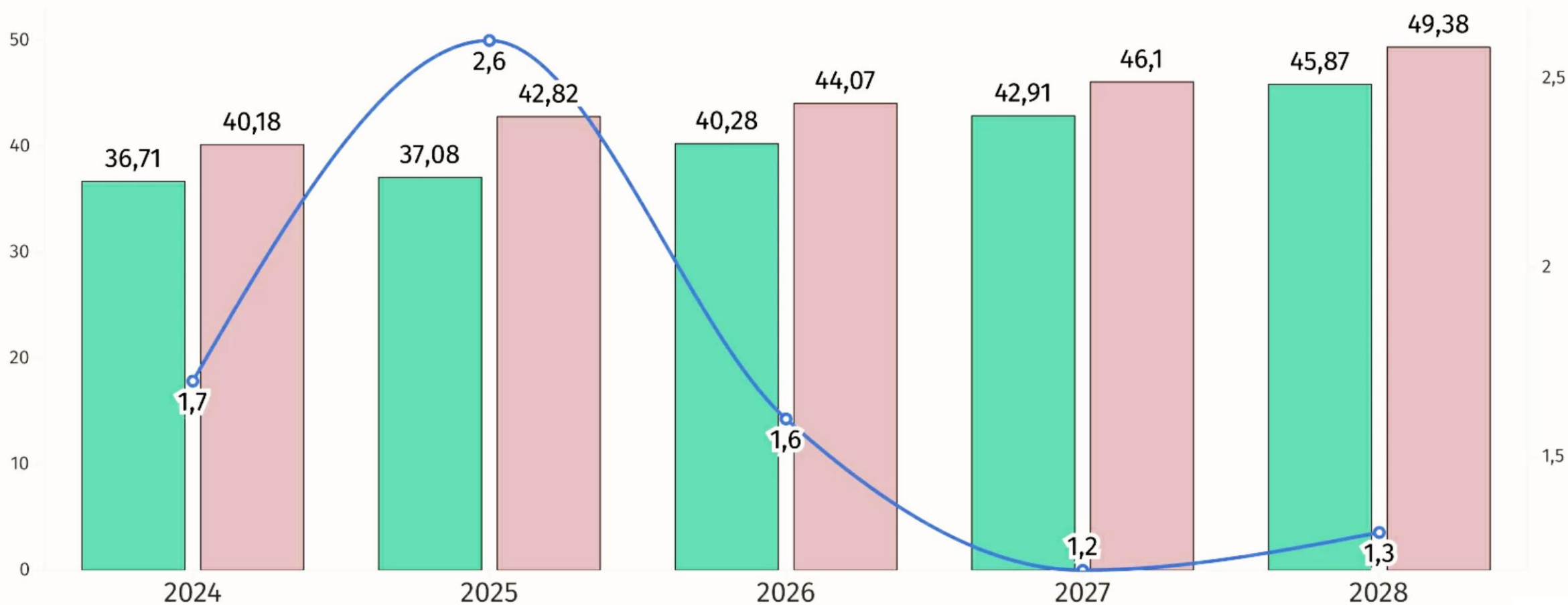
Scheme of budget funds managers





Structure of the federal budget for 2024-2028

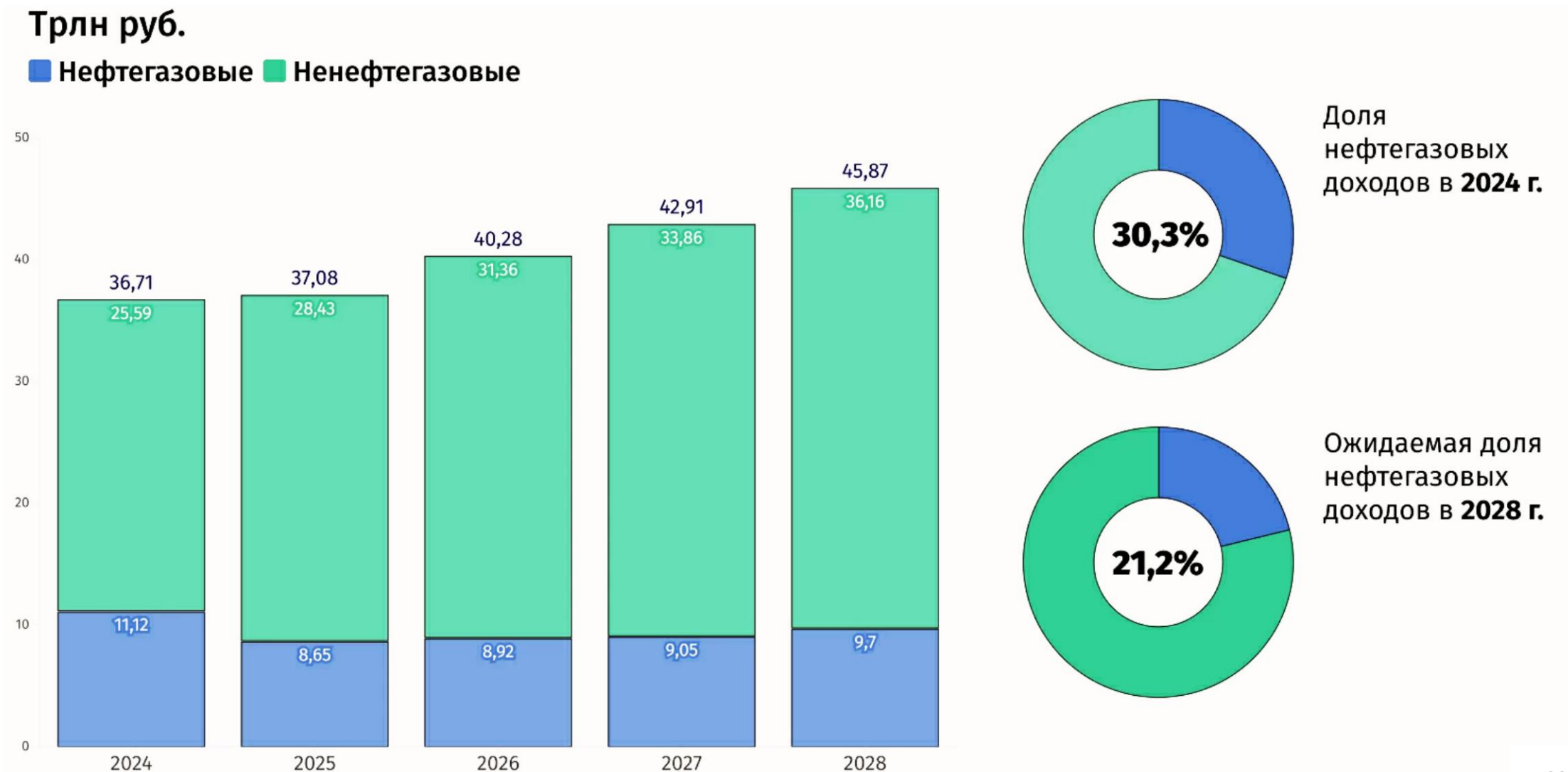
■ Доходы, трлн руб. ■ Расходы ■ Дефицит, % к ВВП



Источник: пояснительная записка к проекту федерального бюджета на 2026 г. и на плановый период 2027 и 2028 гг.



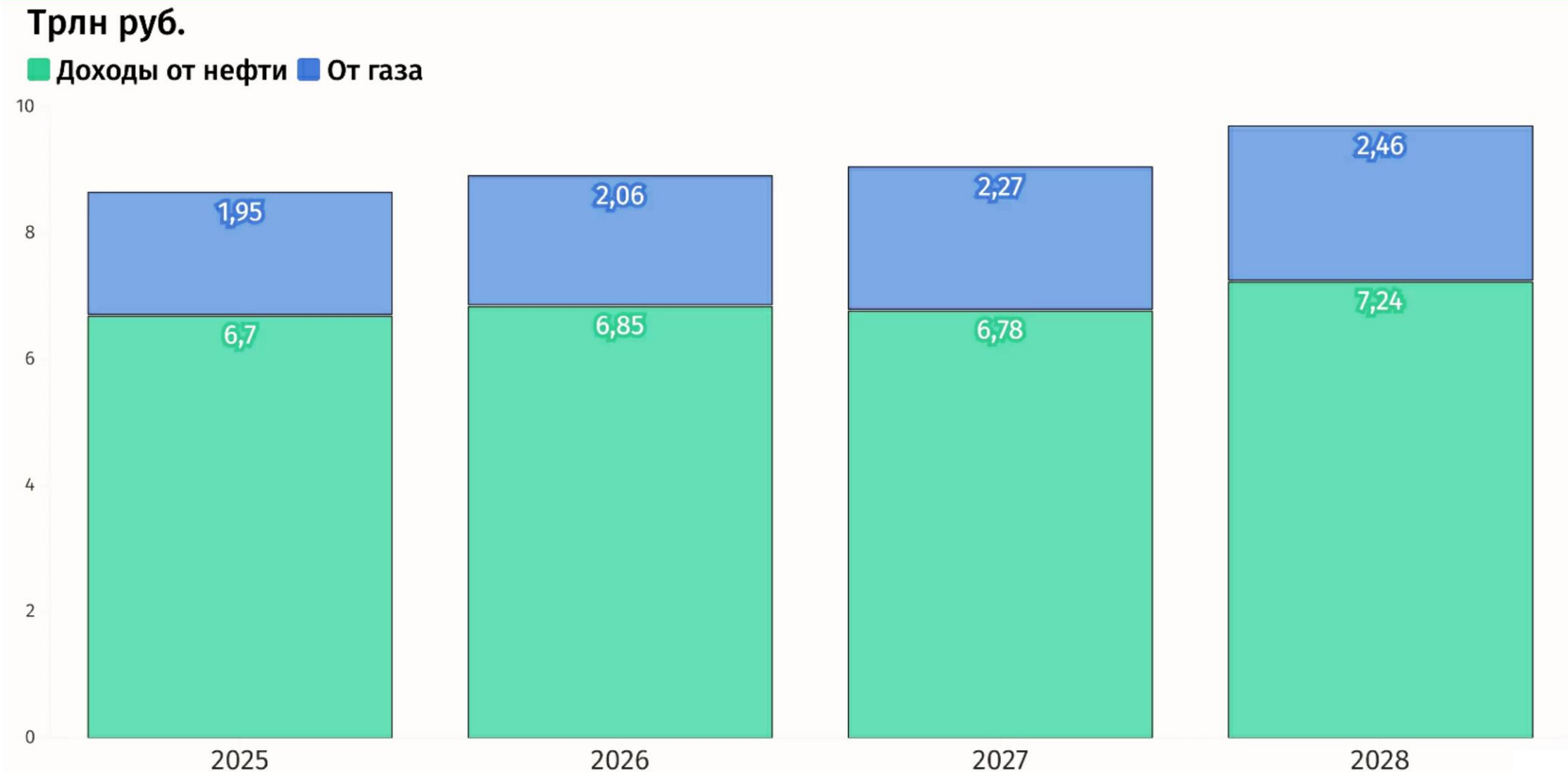
Structure of federal budget revenues for 2026-2028.



Источник: пояснительная записка к проекту федерального бюджета на 2026 г. и на плановый период 2027 и 2028 гг.



Structure of oil and gas revenues of the federal budget for 2026-2028.



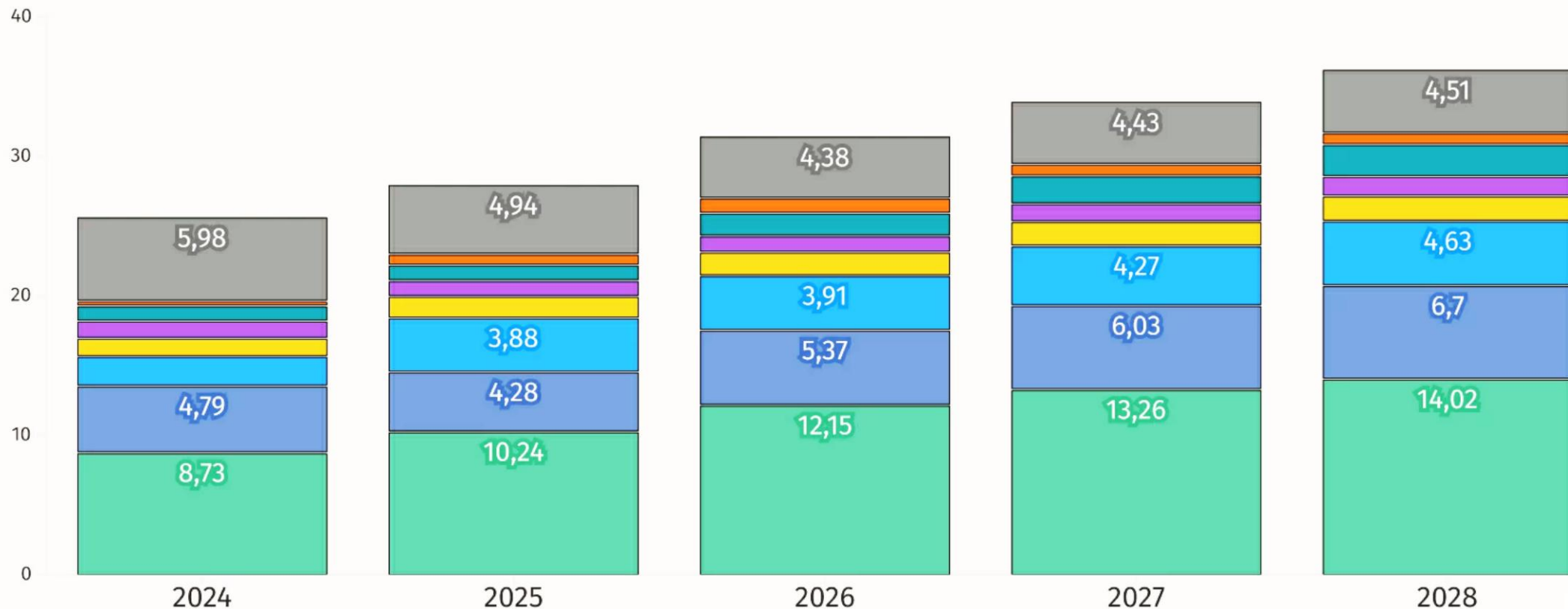
Источник: пояснительная записка к проекту федерального бюджета на 2026 г. и на плановый период 2027 и 2028 гг.



Structure of non-oil and gas revenues of the federal budget for 2026-2028.

Трлн руб.

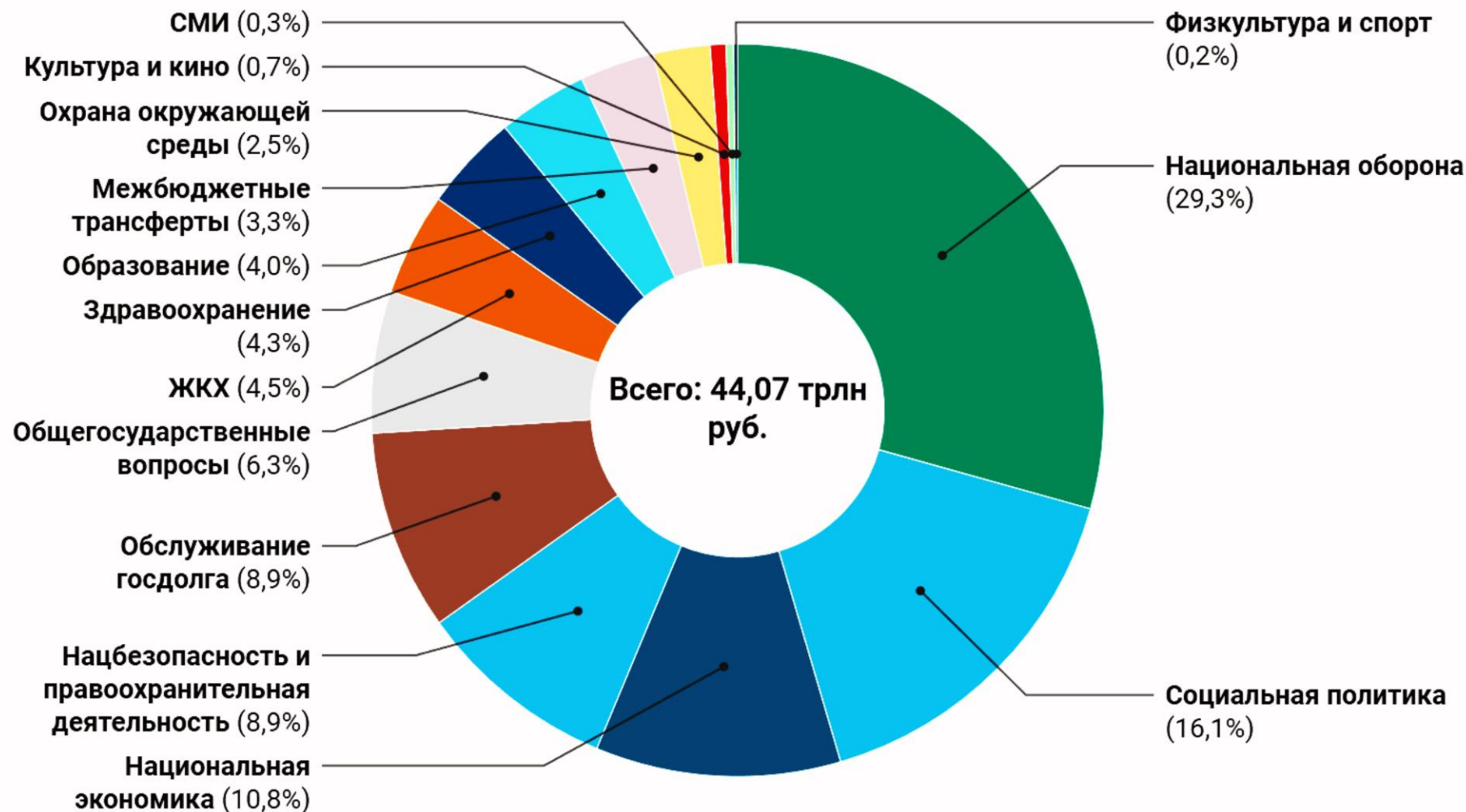
■ НДС внутренний ■ НДС ввозной ■ Налог на прибыль ■ Акцизы ■ Ввозные пошлины
■ Утильсбор ■ НДФЛ ■ Прочие доходы



Источник: пояснительная записка к проекту федерального бюджета на 2026 г. и на плановый период 2027 и 2028 гг.



Federal budget expenditures for 2026 by section

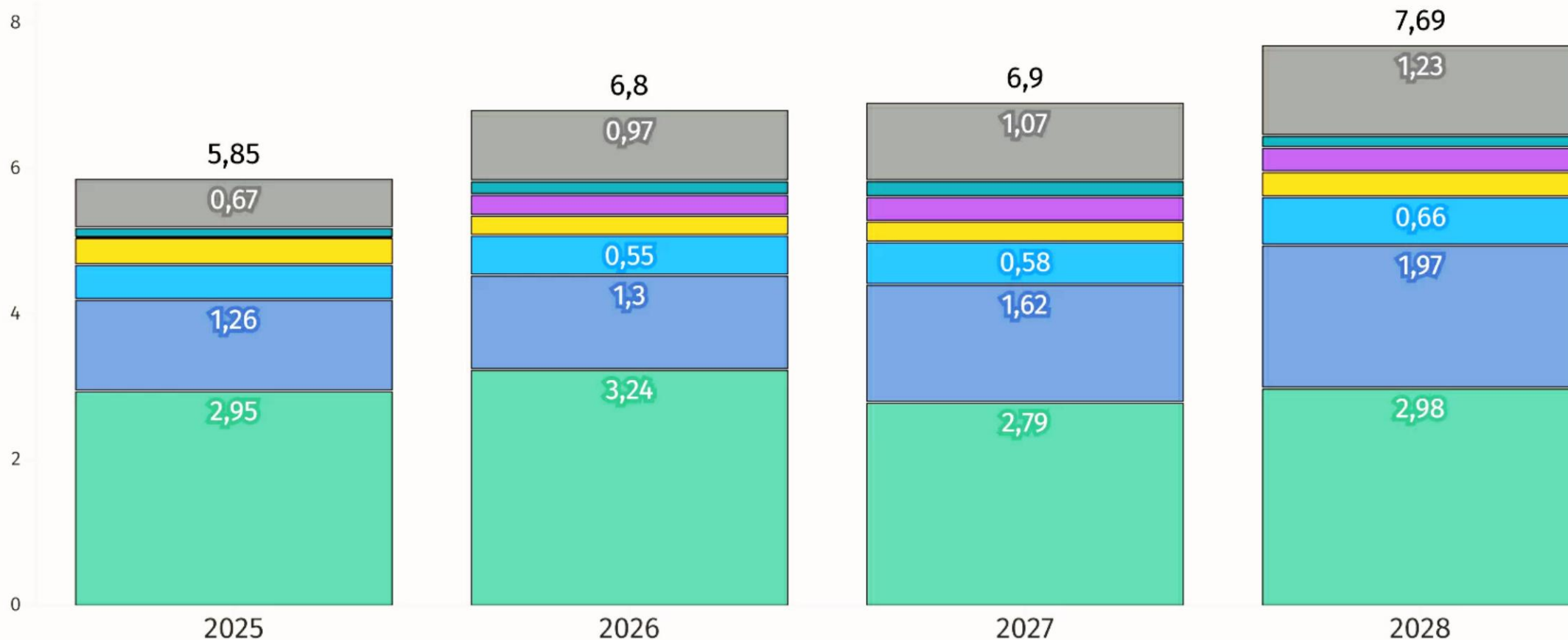




Budget for national projects 2025-2028

Трлн руб.

■ «Семья»
 ■ «Инфраструктура для жизни»
 ■ «Молодежь и дети»
 ■ «Продолжительная и активная жизнь»
■ «Развитие космической деятельности до 2030 г.»
 ■ «Эффективная транспортная система»
 ■ Остальные



Источник: пояснительная записка к проекту федерального бюджета на 2026 г. и на плановый период 2027 и 2028 гг.



Public discussions and hearings

Article 13 of June 28, 2014 N 172-FZ *"On Strategic Planning in the Russian Federation"* directly establishes that **draft strategic planning documents are submitted for public discussion**

The form and procedure for such discussion **are determined by the relevant authority** : at the federal level, draft strategies can be posted for public consultation; at the regional level, public councils or online discussions are held; at the municipal level, public hearings with residents **are organized**.

Comments and suggestions from citizens received during the discussion **are subject to consideration** by the developers of the strategy, but **are not mandatory for use**.

Participatory budgeting



This is a form of **direct participation of residents in the distribution of part of the budget funds** at the local level

A group of active citizens puts forward **an initiative project** —a specific proposal (for example, to build a playground, repair a road, or improve a park)—and submits it for consideration by local authorities and other residents.

The project is **discussed at a citizens' meeting or public hearing**, where support is expressed for it.

The project is then **assessed by the local administration** ; if approved, it is **included in the local budget** and implemented using budget funds.